

He says two decades ago, the US was heavily dependent on imports for hydrocarbons. “Deregulation transformed this by allowing small entrepreneurs to drill backyards and farms through tax incentives, streamlined permissions, and strong private land rights that fuelled the shale fracking revolution, propelling America to net energy exporter status by 2019,” he says.

UNTAPPED POTENTIAL

There is also a question mark over the quality of India’s reserves and their potential. Parikh says large exploration companies feel India’s potential is poor compared to West Asia, Iran and Indonesia.

For instance, reservoir heterogeneity in Rajasthan’s Barmer-Hill and Assam’s fractured carbonates requires multi-stage hydraulic fracturing and high-density vertical logging, which doubles drilling costs compared to vintage wells. The Directorate General of Hydrocarbons lists more than 60 prospects as tight oil, requiring advanced techniques to be tapped. Last year, the government

\$20

BILLION

ONGC’S TENDER
FOR HIRING RIGS
FOR FIVE YEARS
AS PART OF THE
GOVERNMENT’S
SAMUDRA
MANTHAN MISSION

confirmed a major gas discovery in the Andaman basin, marking a milestone in deepwater exploration. For the first time, drilling operations are targeting depths of up to 5,000 metres. According to analysts, commercial drilling and production may take 10-15 years and further drilling is needed to confirm the size and viability of the find. The Kutch-Saurashtra basin is another focus area with studies indicating that it is a major gas hub.

Sarraf, also former chairperson of the Petroleum and Natural Gas Regulatory Board, says oil wells managed by PSUs are drying up and they are investing further in the field to produce more. New exploration is risky and involves huge capital, which remains a deterrent for both private and PSU players. In the Andaman deep-sea exploration, the government is investing from the consolidated fund of India.

Mordor Intelligence says ONGC has dominant acreage but is grappling with natural decline and capital expenditure inflation. Its 2024-27 strategy allocates \$6.5 billion for EOR (enhanced oil recovery) pilots, subsea tie-backs, and digital twins of 34 offshore platforms. Tie-backs connect new subsea oil and gas wells to existing, distant production platforms via pipelines and umbilicals.

Oil India is pursuing a “brownfield to greenfield” road map and has earmarked 30% of its capital expenditure for new tight-oil prospects in Assam and Rajasthan. Vedanta’s Cairn Oil & Gas has committed \$4 billion till 2030 to increase output from existing fields.

Vivek Jain, Director, India Ratings, says the government will have to share some risk to encourage exploration. “You require large capital. If things don’t work out, your balance sheet should be strong enough to handle the losses,” Jain tells *BT*. He draws a comparison with the coal sector. “Roughly 70-80% incremental coal mining is done by the private sector as the government has allowed pricing freedom,” he says, adding that pricing freedom and sharing of risk capital burden by the government can boost private sector partici-

THE ENERGY MIX

• India is working to reduce the dependence on fossil fuels

